Journal of Financial Crises

Volume 7 | Issue 1

2025

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Recommended Citation

Chute Lynch, Mary Anne (2025) "Lessons Learned: J. Christopher Flowers," *Journal of Financial Crises*: Vol. 7 : Iss. 1, 711-714.
DOI: https://doi.org/10.17132/2693-3179.1639
Available at: https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/29

Yale Program on Financial Stability
Lessons Learned

J. Christopher Flowers

By Mary Anne Chute Lynch

J. Christopher Flowers has been managing director, CEO, and chairman of the private investment firm J.C. Flowers & Co. LLC for many years. During the Global Financial Crisis (GFC) of 2007–2009, Flowers was involved with investing in some of the largest banks and financial institutions in the world and advising and consulting with them on possible acquisitions, mergers, and sales as several of these firms began to collapse. In the fall of 2008, Flowers worked closely with the Bank of America (BofA) on proposals to acquire Lehman Brothers and Merrill Lynch, and he developed a plan for private investors to help bail out American International Group (AIG). He negotiated directly with lending banks, federal regulators, and Treasury officials. This summary is based on an interview with Flowers in June 2022; the full transcript can be accessed here.

Regulators' focus on eliminating too-big-too-fail institutions is misguided. In a crisis, governments must do what it takes to save the system.

J. Christopher Flowers's takeaway after the GFC was that eliminating "too big to fail" firms is not reasonable in today's system of large, interconnected global financial institutions. He is in favor of regulations that strengthen banks internally, such as capital and liquidity requirements, and believes positive changes have been implemented since the GFC, However, he also believes that the government must stand as the ultimate backstop to the system, if necessary:

> I don't think there's a whole lot of doubt that if the United States government had not intervened [in 2008], all these companies—not all, basically, AIG, yes, Morgan Stanley, yes, Goldman Sachs—all would have gone bankrupt, and BofA and JPMorgan would have been left standing. But the damage would have been tremendous. Everybody in the world does business with these companies, everybody—widows, orphans, retirees. It would be a catastrophe. There is no doubt that declaring them all too big to fail was the correct decision at that point. And it probably would have been correct not to let Lehman go either.
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> . . . The idea that nothing's too big to fail is complete nonsense. It never was achievable. It hasn't been achieved now, and it will not be achievable in the foreseeable future. There's absolutely no way in the world that the biggest financial institutions in the world could go down. No way. It would be such a catastrophe. And it's the same in 2008 as it is true in 2022.
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> . . . The point I'm driving at is part of the legislative and regulatory change since 2008 has been to strengthen the system, but also, in theory, to eliminate the concept of institutions being too big to fail, and in some cases, by trying to make rules which do not permit the bailout. An example of that—if you look at the eurozone and you look at the sovereign credits of weak credits like Italy, or let's say Greece, in theory, the

> [European Central Bank] is not allowed to do anything to help a failing sovereign credit in the eurozone. But, in fact, they do, because they have to.

According to Flowers, this is not a concept limited to the United States. He asserted that, in a crisis, those governments that can will help their key financial institutions to save their systems. "If it came to it, there is no way the United States would let JPMorgan fail, or the Bank of America or Wells Fargo or AIG, or any of these companies. And the same with Deutsche Bank. That's a German promise there; that's just the way it is." Flowers saw a similar phenomenon play out across the eurozone with the financial stability of countries.

Regulatory changes enacted after the GFC prepared banks to withstand the effects of the COVID-19 pandemic, but additional reforms are still needed.

Flowers credits the regulations implemented after 2008 with preventing a severe economic crisis during the COVID-19 pandemic. He also noted that the government and the Federal Reserve were quicker to implement solutions: "The government was much more [on it], and the Federal Reserve was much more on it, faster and preventive, because COVID could have been another existential thing, and that didn't happen."

However, on the topic of regulations, Flowers thinks more work needs to be done to streamline the number of US regulatory agencies overseeing banking, a burdensome structure compared with those of other nations that have one regulator.

> Regulations require better capital and liquidity, and that's been good; that regulation is producing better results. The regulators have done a number of other technical things like net clearing, and swaps, a bunch of stuff to make it better. I applaud that. I think that's been positive. There is also . . . bureaucratic nonsense that comes with a regulatory system. That's true in every country, certainly true in the United States. For example, if you take the regulation of banks, the Federal Reserve, the OCC, the FDIC, and the state banking departments, and there's Fannie Mae and there's Freddie Mac and the FHA, and there is the SEC and CFTC. There are 20 different people often on the same subject, telling the recipient what to do. And while they're doing that, sending a hundred people over there and charging them for it. Is that really a good idea? Most countries do not have this preposterous duplication. In England you've got one of them. In Japan, you've got one of them. In America, you've got 10 of them, and it's not really a better system.

The government's stake in housing mortgages is another area where Flowers said reform could improve stability of the system. He pointed out that fundamental shifts in mortgage finance that preceded and were exacerbated by the GFC have left the system vulnerable and with more of this type of risk relative to other nations. "We're the only ones with this system, in which the government is essentially taking a huge portion of the risk," Flowers said.

> Take England, the Netherlands, Canada, Japan—it's common to have a national body, which, to some extent, supports basic mortgage lending. But the overwhelming dominance of Fannie Mae and Freddie Mac, et cetera, is unusual. Secondly, [in] most

> other countries, you make the loan, you service the loan, you own the loan. You're a bank in America, none of that happens.

Flowers pointed to crypto as another area of weakness. Saying it is underregulated, he equated it to gambling in Las Vegas. But he ended on a hopeful note, quoting former Treasury Secretary Larry Summers:

> The financial system is like cars. You're going to have car crashes. You're not going to stop that, but we can make cars better, so that we don't have as many crashes and people are not going to get injured as much. And that's the same idea in the finance system. There's not going to be someone that's going to stop crises and all that, because they're going to happen, but you can make them less damaging. I think a lot of good work has been done on that since 2008.

Industry also learns from crises. The best firms make changes reflecting those lessons.

Flowers's company was deeply involved in a number of critical deals during the GFC, including "looking at Lehman as a principal with BofA . . . looking at AIG as a principal with other partners, and . . . working with BofA as an adviser on Merrill Lynch." He acknowledged, "from an investment point of view, both defense and offense, we made a variety of mistakes in 2008, and we wouldn't make them twice." He pointed out that the company had suffered losses during the GFC, but that it had also learned some practical lessons that had led to changes in how it operated. He shared several with us:

> We are often asked this, and I would say three things. The first one is that because we invest in banks [and] insurance, this is the very stuff that was the heart of [the crisis], and the requirements we would have now for liquidity and funding a financial institution and capital are much more restricted than they would have been before 2008.
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> Partly that's driven by regulations, and partly that's driven by increased prudence by us. They're working together. Banks we would invest in today, we would need much more capital and much better liquidity than before 2008. Before 2008, the system had worked for a long time, but it stopped working.
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> The second two things I will say are routine investing points. We relearned them. One is that we were not diversified enough in 2008. Not diversified enough geographically. Not diversified enough period, meaning how big the largest position was, and not diversified enough by type of industry. We're substantially more diversified today than we would have been in 2008.
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> Lastly, we had lots of companies with trouble, some survived and recovered, a couple didn't. The biggest difference was whether we had control of the company. It was very difficult in some situations where we did not. We were a big investor but did not control the company and could not force them to act with the dramatic brutality and

> swiftness that was necessary. We would not put ourselves in a similar minority position today.

Dated: April 2025

YPFS Lessons Learned No. 2022-14